ADNOC–Fertiglobe Transaction — One-Page Deal Memo

Topic	Summary
Transaction	ADNOC acquired OCI Global's 50% + 1 Fertiglobe stake for AED3.20/share, implying ~$3.62bn headline consideration and increasing ownership from 36.2% to 86.2%.
Strategic Rationale	Scaled low-cost MENA nitrogen platform, global export infrastructure, financing / logistics / reliability benefits and long-term ammonia optionality.
Standalone Value	Base ex-ante standalone value: ~AED2.80/share; acquired-stake value: ~$3.165bn.
Price Paid	AED3.20/share; headline consideration: ~$3.620bn; official premium: 8% to undisturbed price.
Value Gap	Strategic-value gap: ~$455m versus base acquired-stake standalone value.
Synergy Logic	Because ADNOC already owned 36.2%, benefits could accrue across 86.2%; required company-wide PV benefit falls from ~$911m to ~$528m.
Returns	Base case approximately breakeven deal NPV; ~7% 5-year IRR and ~1.36x MOIC on the acquired stake analytical framework.
Break-Even	~AED3.19/share purchase price; ~$410/t normalized urea; ~92–93% utilization; ~$52m annual after-tax synergy.

Conclusion

ADNOC paid above base standalone value, creating a ~$455m strategic-value hurdle. However, ADNOC's pre-existing 36.2% ownership materially improves the economics because control-created value can accrue across 86.2% of Fertiglobe. Moderate recurring operating, financing and commercial benefits can nearly bridge the gap under the base case, while stronger or weaker nitrogen-cycle conditions materially change the result. The transaction should be framed as a conditional strategic underwriting rather than an unambiguously cheap or expensive acquisition.

Principal Risks

Normalized urea/ammonia prices; China exports; Egypt gas availability; Sorfert gas economics; operating reliability; freight/geopolitics; working capital; low-carbon ammonia demand; execution risk.

Note: Independent public-information case study. Not live advisory work; no confidential SPA, internal ADNOC forecasts, proprietary earn-out formula or buyer PPA used.